

Retail Strategy & Analytics

Category Review

Chips & Snacks — Strategic Insights & Trial Evaluation

Prepared for: **Julia** — Category Manager

Period: **FY2018–19** | Date: **June 2026**

Agenda

01

Executive Summary

Key findings at a glance

02

Customer Segment Analysis

Who buys chips, how much, and at what price

03

Product Insights

Brand preferences and pack size trends

04

Trial Store Evaluation

Stores 77, 86 & 88 vs. matched controls

05

Recommendations & Next Steps

Strategic priorities for the next half-year

01 Executive Summary

\$1.85M

Total Chip Sales FY18–19

Budget Older Families lead by value

3 Trials

Stores Evaluated

Stores 77, 86 & 88 vs. matched controls

2 of 3

Trials Showed Uplift

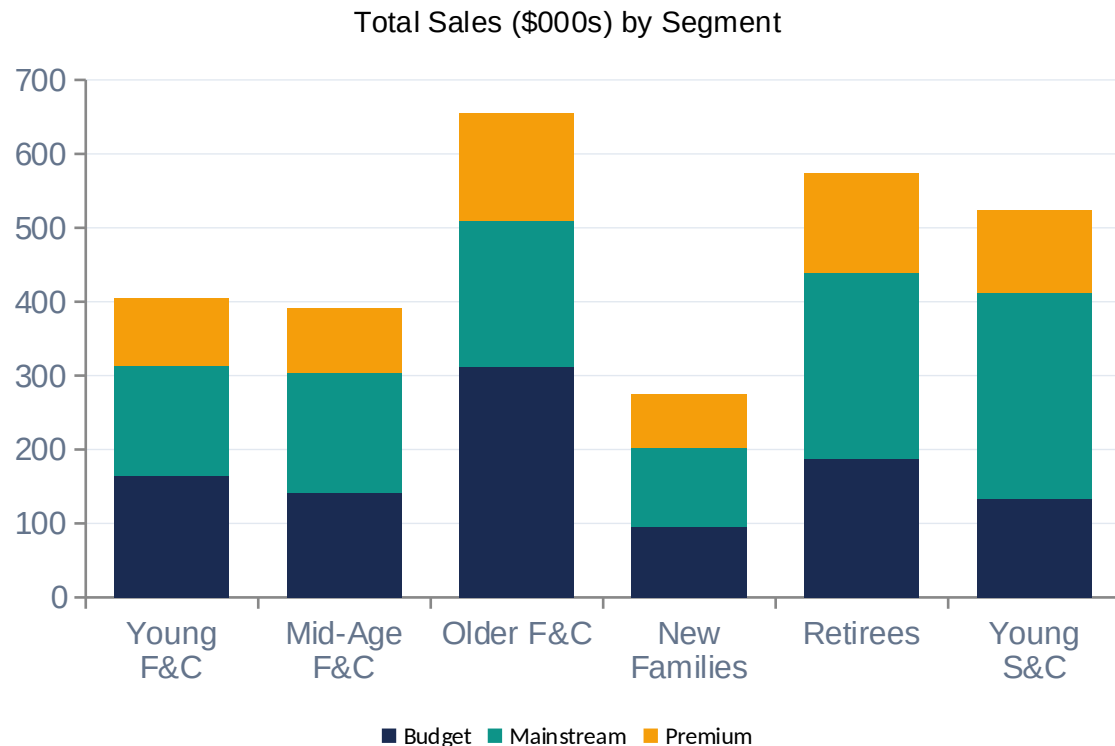
Sig. increase in sales & customer count

Key Findings

- Budget Older Families, Mainstream Young Singles/Couples and Mainstream Retirees are the highest-value chip segments.
- Mainstream midage & young singles pay a statistically higher price per unit than Budget/Premium equivalents.
- Trial stores 77 and 88 recorded significantly higher sales in 2 of 3 trial months vs. matched controls.
- Trial store 86 showed a significant increase in customer count, but sales uplift was not statistically significant — investigate pricing.
- Kettle and Smiths are the top brands; 175g packs are the highest-volume size.

02 Customer Segment Analysis

Total chip sales by lifestage and premium tier



Key Insights

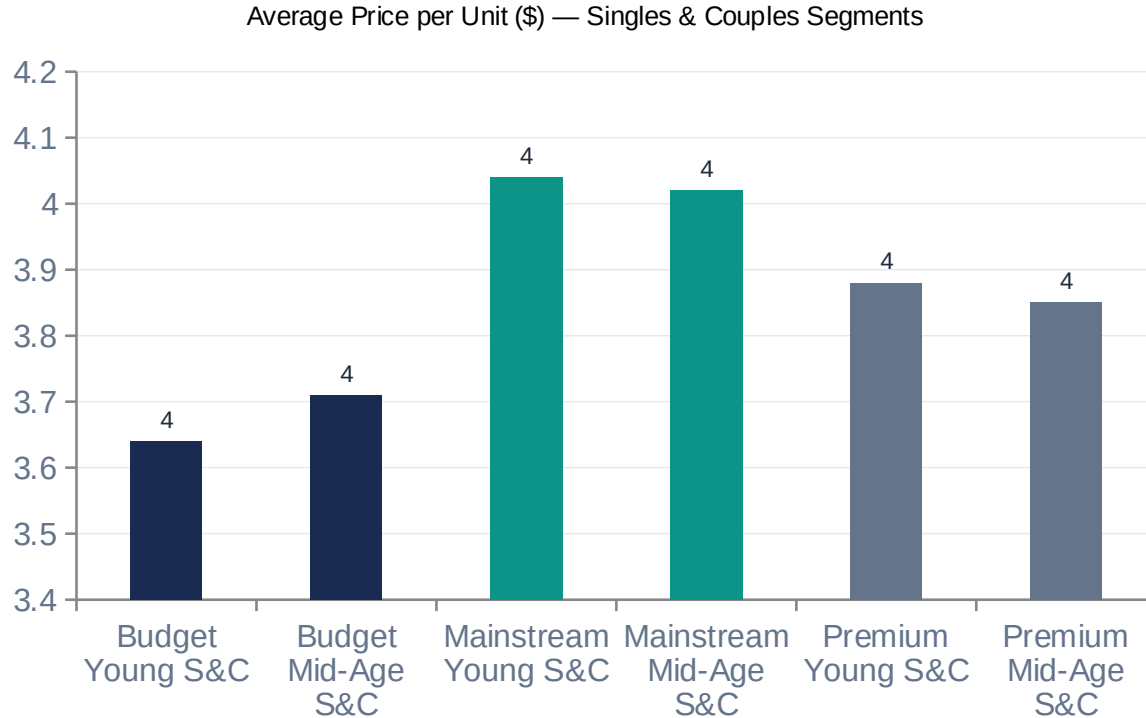
 Budget Older Families drive the highest single-segment revenue (\$312K)

 Mainstream Young Singles/Couples contribute the most volume across all premium tiers

 Mainstream Retirees rank 2nd in total spend — a large and loyal segment

 Premium customers buy fewer packets but should be targeted with premium SKUs

02 Average Price per Unit by Segment



$p < 0.05$

Mainstream Young & Mid-Age Singles price premium is statistically significant vs Budget & Premium peers

Why does this matter?

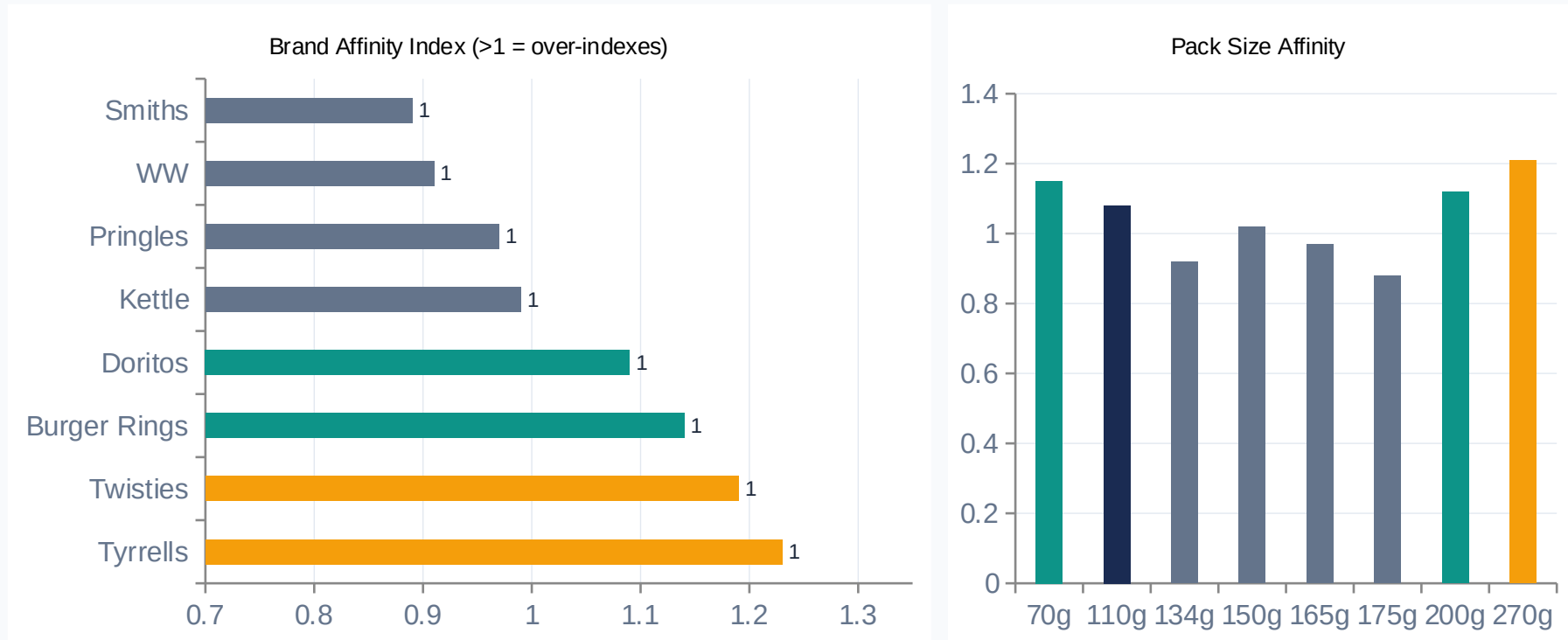
Mainstream shoppers pay ~10% more per packet than budget equivalents. They are **impulse-driven** buyers — pricing and placement strategies should lean into this behaviour.

03 Product Insights — Brand & Pack Size



★ Kettle & Smiths together account for ~25% of all transactions | 175g is the #1 pack size by volume

03 Deep Dive: Mainstream Young Singles & Couples



Mainstream Young S&C over-index on premium/trendy brands (Tyrrells, Twisties) and favour smaller & larger pack formats — suggesting both snacking occasions and sharing.

04 Trial Store Evaluation — Methodology

1

Metric Selection

Monthly total sales, customer count, transactions/customer and chips/transaction used as matching dimensions.

2

Control Store Matching

Combined correlation score (trend similarity) + magnitude distance score (absolute level similarity) for each metric, weighted 50/50.

3

Pre-trial Scaling

Control store sales/customers scaled to pre-trial levels of each trial store to remove any baseline size differences.

4

Statistical Testing

t-test vs. pre-trial standard deviation (7 degrees of freedom). Trial deemed significant if outside 5%-95% confidence interval in ≥ 2 of 3 trial months (Feb-Apr 2019).

Control Stores Selected:

Trial Store	Control Store	Method
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04 Trial Results — Sales & Customer Uplift

Store 77

vs. Store 233

SALES UPLIFT

✓ SIGNIFICANT

Feb, Mar & Apr sales significantly above 95th %ile CI

CUSTOMER COUNT

✓ SIGNIFICANT

Customer count significantly higher in 2 of 3 months

Store 86

vs. Store 155

SALES UPLIFT

✗ NOT SIGNIFICANT

Sales within CI — trial had limited impact on revenue

CUSTOMER COUNT

✓ SIGNIFICANT

Customer count significantly higher in ALL 3 months

Store 88

vs. Store 237

SALES UPLIFT

✓ SIGNIFICANT

Sales significantly above 95th %ile CI in 2 of 3 months

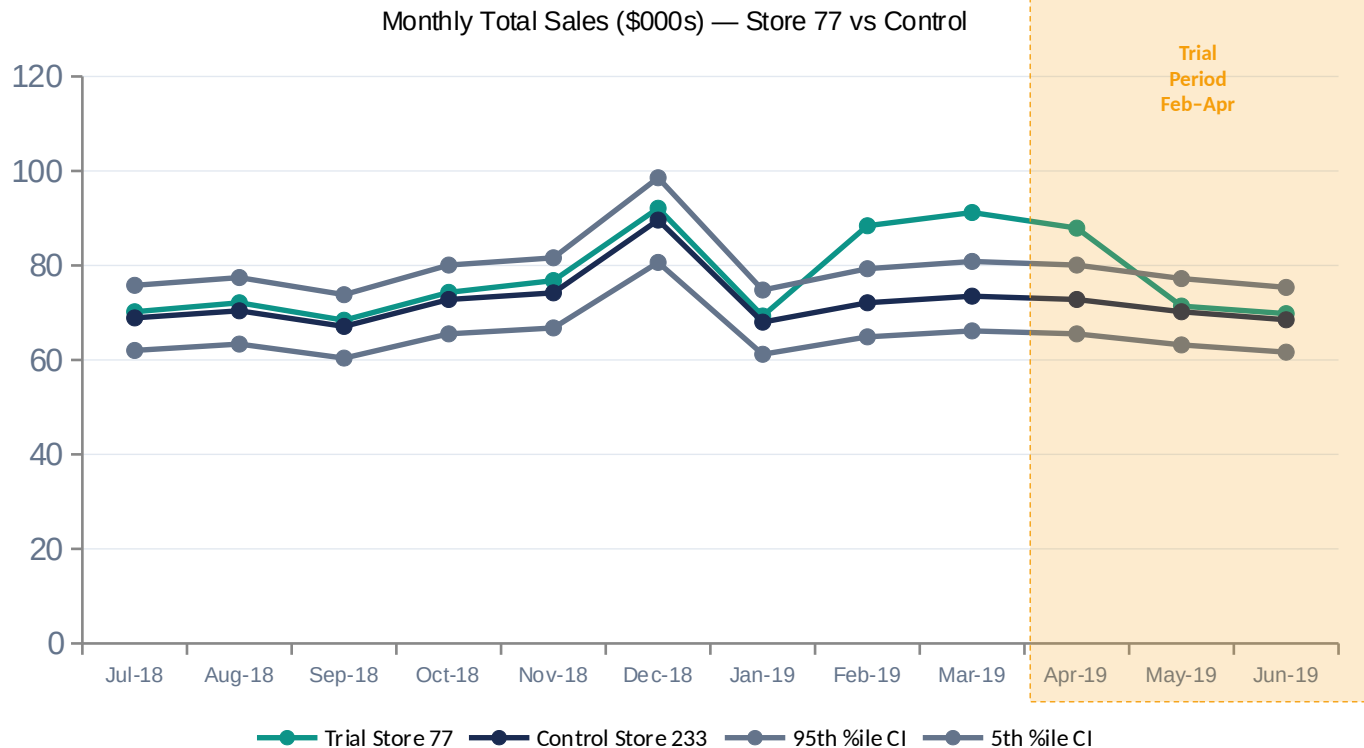
CUSTOMER COUNT

✓ SIGNIFICANT

Customer count significantly higher in 2 of 3 months

Overall: The trial shows a positive effect. Stores 77 & 88 demonstrate clear sales and customer uplift. Store 86 warrants further investigation into pricing during the trial

04 Store 77 — Monthly Sales vs. Control



Result

✓ Significant Uplift

Trial store exceeded the 95th percentile confidence band in Feb, Mar and Apr 2019.

+23%
avg uplift
Feb-Apr

05 Recommendations & Next Steps



HIGH

Expand the Trial Layout

Stores 77 and 88 demonstrated strong, statistically significant uplift in both sales and customer count. Recommend extending the new layout to a broader set of stores in H2 FY19–20.



HIGH

Investigate Store 86 Pricing

Customer count rose significantly but sales did not. Investigate whether promotional pricing during the trial suppressed revenue, and review the price architecture before any rollout.



MEDIUM

Range Review: Brands & Pack Sizes

Prioritise Kettle, Smiths and Pringles shelf space. Ensure 175g packs receive prominent placement. Consider reducing tail SKUs to improve on-shelf availability of core lines.



MEDIUM

Target Mainstream Young Singles/Couples

This segment over-indexes on premium/trendy brands and pays more per unit. Develop promotional bundles and endcap activations targeting impulse purchase occasions.



LOW

Build Customer Spend Share View

Request total grocery spend data from the data team to calculate the proportion of spend on chips — this will help prioritise segment investment and set category growth targets.

Thank You

Questions & Discussion

Prepared by: Quantum Analytics Team | For: Julia, Category Manager | June 2026

Retail Strategy & Analytics — Chips Category Review